When a new government agency has to be built, or an old government agency has to be fixed, this will require time and money. For instance, building a regulator of doctors and hospitals is an expensive project. We should be willing to commit adequate resourcing to it. We should build this organization in much the systematic way that private equity funds build private organizations: writing process manuals, building IT systems, setting up office facilities, recruiting and training staff, and only then doing the ribbon cutting.

In the development of the capability of the criminal justice system, it makes sense to start with a narrow set of crimes (for instance, riot, murder) and focus only on these. This will involve writing a manual for investigation, a manual for prosecution, working out the required resourcing, training the staff in working within the manuals, establishing feedback loops for continuous improvement as well as a dashboard of performance metrics. We have to establish capabilities in the executive, get judges used to how this will work and establish a jurisprudence—for one offence at a time. Once this is done, the next crime can be taken up. This constitutes a sequential process of building state capacity.

Similarly, for SEBI to learn how to enforce against market abuse, the logical place to start is with exactly one specific offence, for instance, ‘price manipulation through a short squeeze’. For this one offence, the correct regulation has to be drafted replacing the vagueness and low evidentiary standards of the present market-abuse regulation, the manual for investigation has to be drafted, the manual for prosecution has to be drafted, white papers have to be released into the public domain, the internal staff have to be trained in living by these manuals, and MIS has to be built to watch over the enforcement process. The market and the judges have to understand the law, and the jurisprudence has to build up illuminating the borderline cases. In about two years, it should be possible to get SEBI up to the ability to detect and enforce against one tangible element of market abuse. Only after this is mastered can the management then start on a second element of market abuse.